

PITCH — DYN — VERDICT

ADJUDICATED 2026-09-16 — WATCH — band \$14 (conviction 7/10). The court found nothing to own at this price; the reopen gates below are the only path back.

What we believe

Dyne Therapeutics is a pre-revenue drug developer with two shots on goal and enough cash to take both of them.

1. **The Duchenne (DMD) leg is close and probably real.** A biologics application is filed for the exon-51 skipping drug (the court record calls it z-rostudirsen), with an FDA decision date of **2027-01-21**. A competitor's cousin drug just got priority review in Duchenne on a biomarker alone, which tells us the regulator's door for this class is open, not closing.
2. **The myotonic dystrophy (DM1) leg got genuinely damaged on 2026-09-08**, when Novartis/Avidity's del-desiran missed its main functional test in a placebo-controlled Phase 3. That damage is real and it lands on Dyne, because Dyne's own accelerated-approval path in DM1 rests on **the same functional test** — video hand opening time, i.e. how fast a patient can open a stiff hand.
3. **But the tape is not obviously wrong.** At the pack price of **\$19.87** the company is worth about **\$3.71B** market value, roughly **\$2.58B** after netting the cash. That sits *above* what the Duchenne exon-51 drug alone is worth if fully funded (~\$16.76/sh) and *below* what a multi-exon franchise is worth (~\$27.48/sh). That is the definition of fairly priced with a coin-flip attached.
4. **Therefore: the original long thesis is dead as written, and we do not replace it with a short.** A filed application, a January decision date, and Dyne's own placebo-controlled hand-opening signal make the upside tail too fat to be short.

Position: **FLAT. No position, no orders.**

What the market believes

- Sell-side is nearly unanimously positive: **16 of 17 buy ratings, average target ~\$39.33**, ranging from about \$37 (Raymond James, cut *after* the Novartis failure, still Strong Buy) to \$50 (HCW), with Morgan Stanley \$45 and Piper \$47.
- The peak-sales anchor everyone uses for the Duchenne drug is “>**\$500M**,” **described as conservative**, against roughly 1,600 US exon-51 patients ([BioSpace summary of the early-2027 decision date and analyst expectations](#)).
- The market's 2026-09-08 reaction (roughly -19% on the day, after a premarket print near -35% that was mostly bought back) says the market **read the Novartis failure as informative**

for Dyne, not as guilt by association. That is the same conclusion our red bench reached.

- Institutions bought **21,045,000 shares at \$20.50** in July 2026 — an upsized deal, ~\$431M gross / ~\$405M net. Today's price is *below* that last informed institutional clearing price (pricing PR, closing PR).

Why we might have edge

Honestly: **thin, and mostly on the bear side**. What survived the courts:

- **Prize-table discipline.** Most buyers are anchored to a \$39 target. Our own arithmetic says \$39 needs roughly **\$1.5B of peak sales at a 4x multiple** — which requires the Duchenne franchise *plus* DM1 approval, i.e. the exact leg the Novartis failure impugns. We can name what the price already assumes; the average target holder cannot.
- **One fact both bears and the tape underweighted:** Dyne's ACHIEVE study already showed a **placebo-controlled** improvement in hand-opening time at 12 months, and its DM1 drug is a different chemistry (an antisense oligo) from Novartis's (an siRNA knockdown). They share a delivery vehicle, not a mechanism. That distinguishes Dyne's evidence from the open-label, natural-history-matched comparisons that broke for Avidity.
- **Cash-structure clarity.** We know the widely quoted "\$898.5M cash" figure is stale (it is the pre-offering 6/30 number), and that the correct pro-forma net cash is about **\$1.13B** (Q2 8-K exhibit 99.1, primary). Anyone pairing pre-offering cash with post-offering share count is off by ~\$240M of enterprise value.
- **A pre-committed re-entry ladder** below the funded Duchenne-only floor. Edge in a binary is usually price discipline, not insight.

Why it might be priced in

- **Our best bear fact is a consensus fact.** The red bench called the endpoint discovery "novel"; the blue bench overturned that grading — the hand-opening endpoint is stated in four separate company releases and Raymond James already cut its target on DM1 risk. **Consensus kills are not edge in either direction.**
- **The July \$20.50 deal was upsized and oversubscribed.** Real money set a price 3% above today's tape with better information than we have.
- **The Duchenne decision date, the confirmatory trial, and the DM1 readout timing are all public.** There is no calendar arbitrage here.
- **Nothing in our file is non-public or hard to obtain.** Every load-bearing number came from press releases, an 8-K exhibit, and Form 4s. That is a re-reading of the public record, not an information advantage.

What could go wrong (PRE-MORTEM, v1.7)

Failure narrative 1 — We buy the \$14 re-open gate and it was a real repricing, not an overshoot. If the DM1 readout misses in Q1 2027 *and* the market simultaneously decides the multi-exon Duchenne pipeline (exon 53/45/44) deserves near-zero credit, the funded-value floor is

not \$14 — it drops toward the \$12.48 line (\$400M peak at 3x), and a dilutive raise pushes it lower still. **Tripwire exists:** an 8-K/press release on the readout plus any new stock-sale filing. Monitorable.

Failure narrative 2 — Manufacturing/quality, not science, kills the January approval. Dyne has **never shipped a drug** — zero approvals, zero recalls, zero commercial history in the FDA record — and relies on contract manufacturers we have not inspected. A refusal letter driven by facility or chemistry issues would remove the near-term leg entirely and reprice the name below the Duchenne-only floor. **This one has NO monitorable tripwire.** Inspection findings at a third-party plant are not disclosed to us before the decision, and there is no public sensor we can arm that reads them. **Unknown-unknown class: third-party-manufacturing / CMC-quality opacity at a pre-commercial issuer** — a class where the first observable event *is* the loss.

Failure narrative 3 — We are right about the science and wrong about the flow. Sponsor distribution is running: a Form 4 on 2026-08-14 shows **2,160,516 shares sold at \$25.00** by an indirect fund holder, with Rule 144 notices on 8/13–8/14, 9/4 and two more on 9/8. Separately, a company that raised \$431M at \$20.50 with ~\$900M already in the bank has shown it will raise again — most likely right after a January approval, which is exactly when we would want to be adding. Good news gets sold into supply. **Tripwire exists:** Form 144/Form 4 cadence and any new shelf takedown.

Reflexive / structural leg. Our own size is not the reflexive risk. At a proposed gated starter of 1.0–2.0% of book, we estimate we would be **1–3% of one day’s volume** (estimated average daily volume 2.5–5M shares, ~\$50–100M notional, elevated post-gap; **we have no live volume rail — this is an estimate, not a measurement**). We cannot move this tape. Two other flows can: (a) continuing 144/Form 4 sponsor distribution, and (b) a post-approval equity raise, which is the *predicted* flow and points the wrong way for an add-on-good-news plan. **Doctrine interaction to be honest about:** our two knowledge-graph candidates point in opposite directions on the same facts — one says a peer’s biomarker-moved-but-function-failed result makes the *surrogate itself* suspect and therefore damages us more; the other says a focal name with its own randomized data on that endpoint is over-punished by class read-through. Both fired here. We are not entitled to pick the comfortable one, and the FLAT verdict is partly an admission that the two cancel.

If this position loses money, the most likely reason will be that we paid a fair price for a coin flip we told ourselves was cheap — buying a \$14–16 “floor” that was really a repricing, into sponsor supply and a post-approval equity raise, on a hand-opening endpoint that a bigger, better-funded competitor had already failed in placebo-controlled conditions.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Original thesis: “DM1 read-through is irrelevant — our registrational primary is a splicing biomarker, not hand-opening time”	Company press releases 6/18/25, 10/6/25, 6/3/26, 9/8/26 enrollment-completion PR	REFUTED, and worse than framed. The primary is change in middle-finger myotonia by video hand opening time at 6 months vs placebo — and the June	NO — thesis refuter is dead

Claim	How checked	Found	Confirmed?
		2025 Type-C release says Dyne <i>elevated</i> hand-opening time to primary for the accelerated-approval basis itself . The “splicing surrogate” language lives only in a Jan-2025 8-K exhibit, superseded.	
Peer failure “falsifies the splicing→function surrogate” (red, tagged FATAL)	<u>Novartis HARBOR release</u>	Overreach. Novartis reports evidence of clinical activity in secondary and exploratory analyses; different chemistry (siRNA vs antisense), shared delivery vehicle only. Downgraded from a kill to a sizing input.	PARTIAL — red bench erred by over-tagging
“Price is above the fully-funded prize” (red, FATAL)	Our own prize table	True for Duchenne-51 only (\$16.76/sh, ~\$3.13B) — but red set exon-53/45/44 and DM1 to exactly zero, which assumes the conclusion. Below the franchise prize (\$27.48). Downgraded to sizing.	PARTIAL — red bench erred
“16/17 buy, \$39 average target ⇒ no edge” (red, FATAL)	Broker aggregation (not independently re-pulled)	Coverage counts measure attention, not correctness. Overturned as a kill; retained as a sizing input, because red <i>did</i> name the mechanism for the gap (DM1 valued at zero) and the mechanism is bearish.	PARTIAL — red bench erred
Cash and enterprise value	<u>Q2 8-K exhibit 99.1</u> + offering PRs	\$898.5M is pre-offering 6/30 cash wrongly paired with post-offering shares. Correct: ~\$1.30B pro forma less ~\$0.17B Q3 burn ≈ \$1.13B net cash; EV ≈ \$2.58B at the pack price. Best-verified finding in the file.	YES
The price both benches worked from	Evidence pack tape	Both benches were off-pack. Pack says \$19.87 (–27.2% from the 52-week high, +66.7% off the low). Red used \$20.31 (–25.6%/+70.4%); blue used \$20.045 (–26.6%/+68.2%). Every derived percentage in both files is slightly wrong; this deck re-derives from \$19.87.	NO — both benches erred
Blue bench prize table, top row	Recomputed: $(1.5B \times 4 + \$1.13B) \div 186.7M$	Blue printed \$35.6 ; correct answer is \$38.19 . Blue's	NO — blue bench arithmetic error

Claim	How checked	Found	Confirmed?
		other rows (\$16.8 / \$22.2 / \$27.5) check out.	
“\$15.64 premarket, \$19.66 broker print, prior close \$24.95”	No live-quote rail in either bench	Unverifiable here. Directionally consistent with the pack’s 52-week context, but treat as anecdote. Immaterial: –16.4% vs –18.6% changes no verdict.	NO — unverified, and a coverage gap in both benches
July raise = clearing price	Offering PRs	Confirmed and incomplete: the deal was upsized from \$375M/18.3M shares to 21,045,000 shares/\$431M gross — i.e. oversubscribed at \$20.50. But it priced <i>before</i> the DM1 failure, so it cannot price post-failure information.	YES, with the caveat
Runway “into Q2 2028, no financing gun”	~\$1.13B ÷ ~\$170M per quarter	≈6.6 quarters ≈ into Q2 2028, matching guidance — but with no cushion past the DM1 readout , and a launch build plus a Duchenne confirmatory trial sit inside the window. Also: the “44% earnings miss” is a meaningless framing for a company with no revenue.	PARTIAL — runway holds, “no financing gun” does not
Insider selling = signal	EDGAR filing list; XML not re-pulled by either bench	The 2026-09-08 Form 4s are routine tax-withholding sales at \$24.27–24.50 under pre-set plans — not a signal . The 2026-08-14 sale of 2,160,516 shares at \$25.00 by an indirect holder, plus the 144 chain, is continuing sponsor distribution.	CREDITED, NOT VERIFIED
Sept 29–Oct 3 medical meeting = negative optionality	9/8 PR; <u>MDA-2026 coverage of ACHIEVE randomized data</u>	Red said the data class is identical to the one that just broke for Avidity. Blue showed ACHIEVE’s randomized portion already separated from placebo on hand-opening time at 12 months. So the meeting is low-information, not negative-information .	PARTIAL — red bench erred
Confirmatory Phase 3 cost is a hidden future expense	Q1 2026 PR	Already in the base — HARMONIA was initiated in Q1 2026. New risk instead: it is running <i>before</i> the DM1 readout, so a miss strands the spend.	YES, reframed
Is there a SCIENCE BRIEF artifact to digest?	Evidence pack, science-brief block	Block is empty. No brief artifact, no filename, no claim	N/A — flagged

Claim	How checked	Found	Confirmed?
		ledger, no measurement traps were supplied. The SCIENCE BRIEF DIGEST section is therefore omitted by rule, not skipped by oversight. If a brief exists upstream, this deck is incomplete and must be re-run.	
Non-science detectors (emissions, plant heat, consumer reviews, OSHA, Orange Book, common control, JOBS Act)	Both benches	All not-fired or not-applicable: one leased ~68,000 sq ft Waltham R&D headquarters, no owned plants, no marketed product, biologic pathway so no small-molecule patent ladder. Nothing load-bearing.	YES — no hidden findings

PROPOSED ENTRY BANDS

The courts say NO ENTRY. Below are re-open bands, not orders. Position today: flat. Size today: 0%.

Re-open gate A — price (the main one). - Trigger: **\$14.09 or below** (round it to **≤\$14.10**). That is the funded Duchenne-only floor at a \$500M peak and a 3x multiple: $(\$500M \times 3 + \$1.13B) \div 186.7M$ shares. Below it, we are paying less than cash plus a conservatively multiplied approved-drug-to-be. - Starter size at the gate: **1.0% of book**. Add a second **1.0%** only at **≤\$12.50** (\$400M peak at 3x = \$12.48), which is where the market is pricing failure of everything but the cash. - Hard stop on the thesis, not the price: a refusal letter *plus* a DM1 miss voids the ladder — do not average into a two-leg failure.

Re-open gate B — event (approval + clean confirmatory terms). - Trigger: FDA approval of the Duchenne drug **on or before 2027-01-21**, *and* a confirmatory-trial design without an automatic withdrawal trigger, *and* the multi-exon program (exon 53/45/44) supporting a re-anchor above **\$1.1B** of peak-equivalent sales. - Do **not** chase above **\$22.12** on approval alone (\$750M peak at 4x). Above that we are paying for DM1 before the DM1 readout. - Anticipated adverse flow at this gate: an equity raise. Wait for the raise, then buy the raise, rather than buying into it.

Watch levels (no action, sensors only). - **\$16.76** — the Duchenne-51-only funded prize. Between \$16.76 and \$14.10 the name is cheap-ish but not floor-cheap; this is the alert zone, not the buy zone. - **\$27.48** — the multi-exon franchise prize. Any approach from below without new data is exit-territory for anyone who owns it, and confirms we were right to stay out.

Catalyst dates. | Date | What | Confirmed? | | — | — | — | | 2026-09-29 → 2026-10-03 | Medical meeting (WMS/AANEM) — open-label DM1 data | **Company-confirmed** ([GlobeNewswire release, 2026-09-08](#)) | | 2026-11-05 | Q3 2026 results | **UNCONFIRMED** — derived from a data feed, not named in any company release | | 2027-01-21 | FDA decision date, Duchenne exon-51 | Reported;

to be re-verified against a primary company statement | Q1 2027 (no day) | DM1 registrational cohort topline, 71 patients enrolled as of 2026-06-03 | Company-guided quarter, exact date unknown |

Print proximity: NONE within 5 trading days. Pre-print position: FLAT.

ARMED SENSORS

- NONE ARMED — the deck must flag this as a gap

Missing sensors the courts imply must be added (currently unarmed): - **Live price/volume rail** — neither bench had one; both worked off stale, differing prices. This is the single most embarrassing gap in the file. - **Options chain rail** — no chain data at all, so the instrument choice below cannot be finished. - **Price gates at \$14.10, \$12.50, \$16.76, \$22.12, \$27.48** — the entry ladder is unenforced without them. - **Filing watch: 8-K** (FDA action, DM1 topline), **424B5 / S-3 takedown** (the expected raise), **Form 4 / Form 144** (sponsor distribution cadence), **10-Q on ~2026-11-05** (share count, debt note, actual Q3 burn). - **Clinical registry version watch on NCT05481879** — the primary-endpoint change history would time-lock the killing fact independently of press releases. Both benches recorded this as UNCHECKABLE. - **Company IR calendar check** to confirm or replace the 2026-11-05 date. - **Competitor watch** on the Novartis Duchenne exon-44 priority review, which is the external read on whether the biomarker-based approval lane stays open.

What remains unverified

1. **Registry history for NCT05481879** — the dated record of when the primary endpoint changed. *Drainable now* (registry pull). Both benches were blind here.
2. **Share count and debt** — 186.7M shares and “no debt” are taken from press-release math, not from a quarterly equity/debt note. *Drainable now* (XBRL/10-Q pull). Neither bench pulled it; blue flagged its own miss.
3. **Live price, float and average daily volume** — no market-data rail; our size-vs-liquidity claim is an estimate. *Drainable now* (broker connector).
4. **Options chain: existence, strikes, expiries, quoted volatility** — *drainable now* (broker chain pull). Until then no options recommendation is legitimate.
5. **Full dataset from the competitor’s failed DM1 trial** — how much the biomarker actually moved and what the secondary endpoints showed. *Not drainable now*; gated to a future medical meeting or publication.
6. **The FDA decision on the Duchenne drug and the exact confirmatory-trial/withdrawal terms** — *not drainable now*; resolves on or about 2027-01-21.
7. **DM1 registrational cohort result (hand-opening time vs placebo, 71 patients)** — *not drainable now*; Q1 2027, exact date unpublished.
8. **Whether another equity raise happens before the DM1 readout** — *not drainable now*; would appear as a shelf takedown.

9. **Identity and remaining stake of the fund that sold 2,160,516 shares at \$25.00 on 2026-08-14** — *drainable now* (EDGAR XML + 13F/13D-G cross-check).
10. **Actual Q3 2026 cash burn** (we assumed ~\$170M) — *not drainable now*; gated to the Q3 report.
11. **Confirmation of the Q3 report date** — *drainable now* (IR calendar), currently feed-derived only.
12. **Stock-compensation anomaly** — the pack shows \$10.5M in Q2 2025 versus \$19.9M in Q1 2024, falling into a launch build, which is backwards. Could be a tagging artifact. *Drainable now* (XBRL tag audit).

PRIZE TABLE + VOL READ

Anchor first, then adjust. **Anchor:** the street's ">\$500M, conservative" peak-sales figure for the Duchenne exon-51 drug, at a 3–4x sales multiple, plus \$1.13B net cash, across 186.7M shares.

Funded value ladder — $\text{value/share} = (\text{peak} \times \text{multiple} + \$1.13\text{B}) \div 186.7\text{M}$:

Peak sales	Multiple	Value/share	Meaning
\$400M	3x	\$12.48	Duchenne under-delivers vs an entrenched incumbent
\$500M	3x	\$14.09	street peak, conservative multiple → our re-open gate
\$500M	4x	\$16.76	Duchenne-51 only, fully funded (~\$3.13B cap)
\$750M	4x	\$22.12	Duchenne + partial multi-exon credit
\$1.0B	4x	\$27.48	full multi-exon franchise
\$1.5B	4x	\$38.19	franchise plus DM1 approval — <i>corrects blue's \$35.6</i>

At \$19.87 the cap is \$3.71B: **above** the Duchenne-only funded prize, **below** the franchise prize. A +50% move to \$29.80 requires about **\$1.11B** of peak-equivalent sales — i.e. underwriting DM1 and/or the other exons.

Scenario × probability × price (horizon: through the Q1 2027 readout, ~0.46 years).

Probabilities are ours, adjusted off base rates: ~80% for approval on a filed application in a class the FDA is currently priority-reviewing, discounted for zero commercial/manufacturing history; ~40% for the DM1 endpoint, starting from a ~50% base rate for a functional endpoint in neuromuscular Phase 3, marked down for the competitor's placebo-controlled miss on the same endpoint in the same disease, marked back up for Dyne's own randomized 12-month separation. Prices include a haircut for the expected raise.

Scenario	p	Price
Approval + DM1 hit	0.32	\$36
Approval + DM1 miss	0.48	\$18
Refusal/delay + DM1 hit	0.08	\$20

Scenario	p	Price
Refusal/delay + DM1 miss	0.12	\$9

EV = \$22.84, or **+14.9%** versus \$19.87.

And here is why that is not a buy. Move DM1 success to 30% and the approval-but-miss branch to \$17 — both well inside our own error bars — and **EV = \$20.62, i.e. flat to spot**. The EV sign flips on parameter choices we cannot defend to two decimals, and the choice of a 3x versus 4x sales multiple moves fair value by more than the entire claimed edge. **A +15% EV that vanishes under a 10-point probability tweak is not an edge; it is noise with a spreadsheet.** This is the arithmetic behind FLAT.

Dispersion: $\sigma_{\text{table}} = \9.50 , or **47.8%** of spot over 0.46 years $\approx \sim 70\%$ annualized-equivalent.

Expression math (candidate strikes, priced off the table itself), $C_{\text{ours}} = \sum p_i \times \max(S_i - K, 0)$, expiry past both forks: - $K = \$20 \rightarrow \5.12 - $K = \$25 \rightarrow \3.52 - $K = \$30 \rightarrow \1.92

(Undiscounted; only the 0.32-probability branch finishes in the money at any of these strikes, which is the whole story.)

Volatility read — cannot be completed, and that decides the instrument. There is **no options chain and no price history in this pack**, so we have: no chain-level midpoint volatility, no real quotes for the strikes above, no realized volatility, no volatility percentile, and therefore **no volatility risk premium (implied minus realized) number**. Our estimate for realized volatility post-gap is 65–85% annualized — an estimate, not a measurement. **The rule stands: chain-level midpoint volatility and real strike quotes only, never an aggregate underlying volatility feed — the lesson where an aggregate feed printed 71 while the chain printed 101 is exactly how a “cheap volatility” call becomes a rich-volatility purchase.** We will not repeat it from an even weaker position, which is no data at all.

Bimodality: the table is fork-dated — two separate forks (2027-01-21, then Q1 2027) — so the outcome distribution is genuinely two-humped and a single lognormal volatility number will misprice it in both directions. Long options straddling both forks are the structurally right shape *if and only if* chain volatility prints meaningfully below the $\sim 70\%$ the table implies.

Instrument recommendation — the output of the above arithmetic: NONE. - **Stock:** rejected today. EV edge is inside model error and the price sits mid-range. - **Calls:** cannot be recommended — no chain, no quotes, no volatility comparison. *Conditional rule, pre-committed:* if a chain pull shows midpoint volatility materially below $\sim 70\%$ for an expiry past Q1 2027, the gated add at re-open gate B may be expressed in calls rather than stock, because the table’s dispersion would then be cheap. - **Covered calls:** not available; we own nothing. - **Cash-secured puts:** the natural rich-volatility route — selling puts at the \$14–15 strike is effectively a limit order at our re-open gate, paid to wait. *Conditional rule:* permitted only if chain volatility prints materially above the table’s $\sim 70\%$ implied, and only sized as a real willingness to own the stock at \$14. - Anything at all requires the chain rail from item 4 above. **Ordering the chain pull is the actual next action in this deck.**

Tax overlay. Both forks resolve in **2027**. Any option we buy in 2026 to capture them expires in 2027, so **the loss branch lands in tax year 2027, not 2026**. In a 2026 harvest year that deferral is disqualifying on its own, and the edge here plainly does not numerically dominate — it is +15% EV that flips to zero on a 10-point probability change. **Excluded during harvest years.** Stock bought at the \$14.10 gate has no such problem: the loss is realizable whenever we sell it. If we transact in 2026 at all, it should be stock, not options.

```

{"price_gates": [{"level": 14.10, "direction": "below", "basis": "funded Duchenne-only floor: ($500M peak x 3 + $1.13B net cash) / 186.7M sh = $14.09 – starter re-open gate, 1.0% of book"}, {"level": 12.50, "direction": "below", "basis": "$400M peak x 3 = $12.48/sh – second 1.0% add, market pricing everything but cash to zero"}, {"level": 16.76, "direction": "below", "basis": "Duchenne-51-only funded prize at 4x (~$3.13B cap) – alert zone entry, no action"}, {"level": 22.12, "direction": "above", "basis": "$750M peak x 4 – do-not-chase ceiling for any post-approval add"}, {"level": 27.48, "direction": "above", "basis": "full multi-exon franchise prize ($1.0B x 4) – price now paying for DM1 pre-readout"}], "event_gates": [{"forms": ["8-K"], "why": "FDA action on the Duchenne exon-51 BLA and the DM1 registrational cohort topline – both are 8-K events that void or arm the ladder"}, {"forms": ["424B5", "S-3", "S-3ASR"], "why": "the expected post-approval equity raise; a company that upsized at $20.50 with $900M in the bank will raise again – buy after, never into"}, {"forms": ["4", "144"], "why": "sponsor distribution cadence after 2,160,516 sh sold at $25.00 on 2026-08-14 plus the 8/13-9/8 Form 144 chain"}, {"forms": ["10-Q"], "why": "first primary confirmation of 186.7M share count, no-debt claim, and actual Q3 2026 burn versus our ~$170M assumption"}], "catalyst_dates": [{"date": "2026-09-29", "what": "WMS/AANEM medical meeting begins (through 10-03) – open-label DM1 data, graded low-information not negative", "confirmed": true}, {"date": "2026-11-05", "what": "Q3 2026 results – data-feed derived, no company PR names it", "confirmed": false}, {"date": "2027-01-21", "what": "FDA decision date, z-rostudirsen Duchenne exon-51 BLA", "confirmed": false}, {"date": "2027-03-31", "what": "ACHIEVE registrational expansion cohort topline (71 pts, hand-opening time vs placebo) – company guides Q1 2027, day unknown; date is quarter-end placeholder", "confirmed": false}], "immediate_entry": null, "unverified": [{"item": "1. Primary-endpoint change history for NCT05481879 (time-locks the killing fact independently of press releases)", "instrument": "clinicaltrials.gov registry version-history pull", "drainable_now": true, "estimate": null}, {"item": "2. Share count 186.7M and the no-debt claim – never confirmed from an equity/debt note", "instrument": "XBRL pull / 10-Q equity note (next 10-Q ~2026-11-05)", "drainable_now": true, "estimate": null}, {"item": "3. Live price, float, average daily volume – no market-data rail in either bench", "instrument": "IBKR connector", "drainable_now": true, "estimate": null}, {"item": "4. Options chain existence, strikes, expiries, chain-level midpoint IV, real quotes", "instrument": "IBKR option-chain pull", "drainable_now": true, "estimate": null}, {"item": "5. Full HARBOR dataset – magnitude of biomarker correction and secondary-endpoint detail", "instrument": "medical-meeting presentation / peer-reviewed publication; no rail today", "drainable_now": false, "estimate": {"range": "biomarker correction achieved, function separation 0 of 1 primary; 30-60% chance secondaries later read as directionally supportive", "basis": "Novartis 9/8/26 release language on clinical activity in secondaries plus base rate for missed-primary trials showing supportive secondaries", "p": 0.45}}, {"item": "6. FDA decision on z-rostudirsen and the confirmatory-trial/withdrawal terms", "instrument": "8-K / company PR on or about 2027-01-21", "drainable_now": false, "estimate": {"range": "75-85% approval on or near the decision date; 15-25% refusal or delay", "basis": "base rate for filed BLAs with priority-review-class precedent (cousin TfR1 conjugate granted priority review on biomarker), discounted for zero prior approvals and unaudited contract-manufacturer reliance", "p": 0.8}}, {"item": "7. ACHIEVE registrational cohort result: hand-opening time vs placebo at 6 months, n=71", "instrument": "8-K / topline PR, Q1 2027", "drainable_now": false, "estimate": {"range": "35-45% probability of hitting the primary", "basis": "~50% base rate for functional endpoints in neuromuscular Ph3, marked down for the competitor's placebo-controlled miss on the identical endpoint in the same disease, marked up for ACHIEVE's own randomized 12-month vHOT separation and different oligo class", "p": 0.4}}, {"item": "8. Whether another equity raise occurs before the Q1 2027 readout", "instrument": "424B5 / S-3 takedown watch on EDGAR", "drainable_now": false, "estimate": {"range": "55-70% probability of a raise before the DM1 topline; $300-500M size at a 5-8% discount", "basis": "July 2026 precedent (upsized $431M at $20.50 with

```

```
~$900M on hand), launch build plus HARMONIA Ph3 already running, ~6.6
quarters of runway with no cushion past the readout", "p": 0.62}}, {"item":
"9. Identity and residual stake of the fund that sold 2,160,516 sh at $25.00
on 2026-08-14; Form 4 XML never re-pulled by either bench", "instrument":
"EDGAR Form 4/144 XML pull cross-checked to 13F/13D-G", "drainable_now":
true, "estimate": null}, {"item": "10. Actual Q3 2026 cash burn (assumed
~$170M in all EV math)", "instrument": "Q3 10-Q / earnings PR",
"drainable_now": false, "estimate": {"range": "$165-190M for the quarter; net
cash $1.10-1.15B at 9/30/26", "basis": "H1 2026 loss ~$299.5M (Q1 $120.9M, Q2
$178.6M) trending up on manufacturing and launch build; pack OCF -$105.9M
(Q1'25) as the trajectory anchor", "p": 0.7}}, {"item": "11. Confirmation of
the 2026-11-05 Q3 report date (currently data-feed derived, UNCONFIRMED)",
"instrument": "company IR calendar / PR check", "drainable_now": true,
"estimate": null}, {"item": "12. Stock-comp anomaly: $10.5M (Q2'25) vs $19.9M
(Q1'24) falling into a launch build – possible tagging artifact",
"instrument": "XBRL tag-level audit against the 10-Q cash-flow statement",
"drainable_now": true, "estimate": null}]
```

ADJUDICATION — 2026-09-16 15:37Z

ACHIEVE REC primary and the AA basis are vHOT-vs-placebo, the endpoint HARBOR missed — damage-absent refuted. Human-gated biotech.

REOPEN GATES: DMD approval + confirmatory design; REC topline Q1-27; or price <\$14 (below the DMD-only floor) → re-court (paper)